Economy

Consumer Checkpoint: February bounces back

10 March 2026

Key takeaways

- Spending growth was very strong in February, according to Bank of America internal credit and debit card data. The year-over-year (YoY) growth rate rose to 3.2%, the highest in over three years. And on a seasonally-adjusted basis, card spending rose a strong 0.9% month-over-month (MoM).
- The "K-shape" in spending growth between higher- and lower-income households narrowed slightly in February, but remains very substantial, and a similarly large gap persists between higher- and middle-income households. In our view, divergence in wage growth underpins these trends and does not suggest that the "K" will go away any time soon.
- Average tax refunds have been larger for higher-income households so far in 2026. However, lower-income households saw larger boosts to discretionary categories than higher-income ones, likely contributing to the temporary narrowing of the "K."
- Meanwhile, most consumers still remain in good financial health in regard to their credit card capacity and savings levels, though there is a continued rise in people making minimum credit card payments, which could indicate rising stress at the margins.

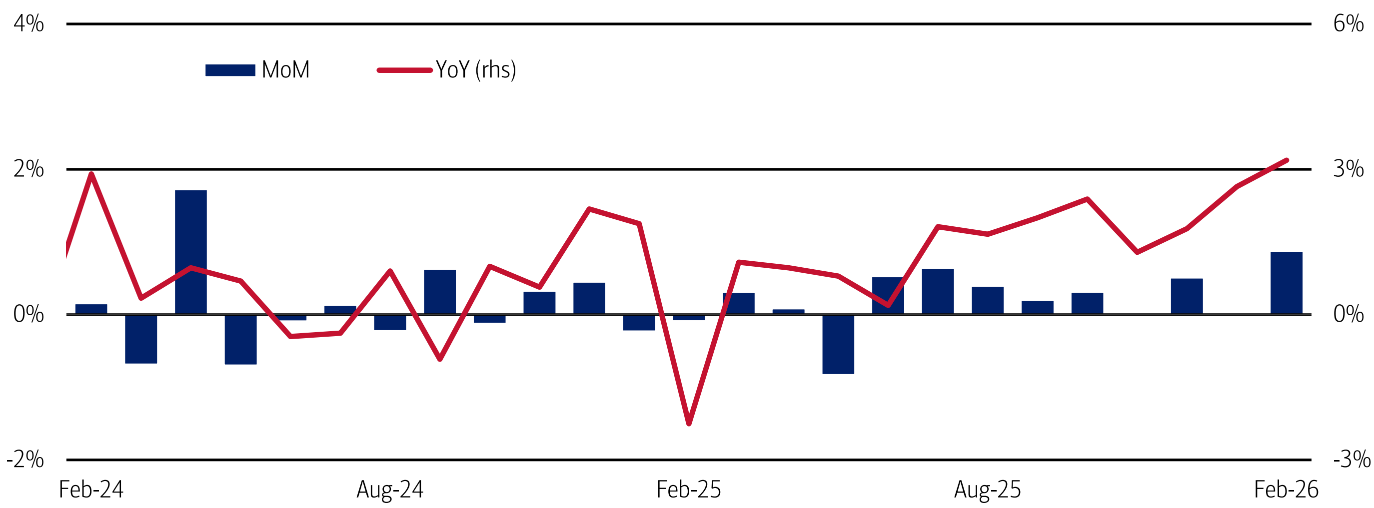
Consumer Checkpoint is a regular publication from Bank of America Institute. It aims to provide a holistic and real-time estimate of US consumers' spending and their financial well-being, leveraging the depth and breadth of Bank of America proprietary data. Such data is not intended to be reflective or indicative of, and should not be relied upon as, the results of operations, financial conditions or performance of Bank of America.

Consumer momentum strengthened in February

Total credit and debit card spending per household increased 3.2% year-over-year (YoY) in February 2026 – the highest YoY growth rate since January 2023 – following the 2.6% year-over-year (YoY) rise in January of this year (Exhibit 1). Seasonally-adjusted (SA) spending per household jumped 0.9% month-over-month (MoM) in February, following a flat figure the previous month where widespread winter storms likely suppressed spending.

Exhibit 1: February's YoY spending growth was the strongest in over three years

Total credit and debit card spending growth per household, based on Bank of America internal data (monthly, MoM%, SA) and (monthly, YoY%, non-SA)



Source: Bank of America internal data

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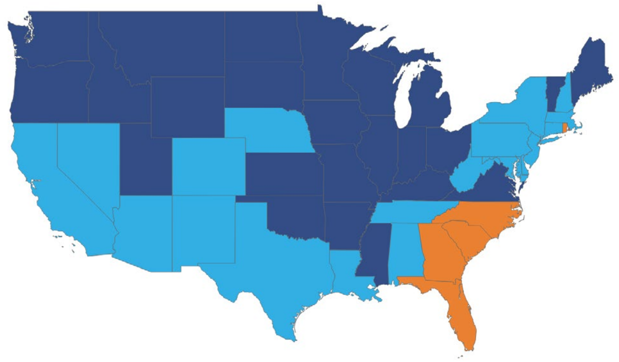
Spending held up well in the Northeast despite winter storms in late February

Overall February card-spending growth was solid across most of the US and likely benefited from a rebound in spending after January's winter weather, which affected the South and eastern seaboard. Portions of the South saw more modest growth, likely as some of the previous month's winter storm impacts appear to have spilled over into early February (Exhibit 2). However, spending was decent for most of the month in the Northeast, despite blizzards suppressing growth in New York, New Jersey, Connecticut, Massachusetts and Rhode Island toward the end of February, according to Bank of America card data (Exhibit 3).

Exhibit 2: Spending growth in the Northeast was solid YoY…

Spending growth by state (28-day moving average to February 28, YoY%, (dark blue: >4%, light blue: 4% to 2%, orange: -2% to 2%, red: <-2%))



Source: Bank of America internal data

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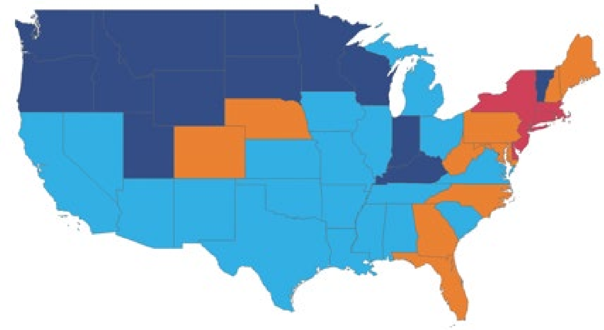
Exhibit 3: …despite notable YoY declines in late February due to winter storms

Spending growth by state (7-day moving average to February 28, YoY%, (dark blue: >4%, light blue: 4% to 2%, orange: -2% to 2%, red: <-2%))



Source: Bank of America internal data

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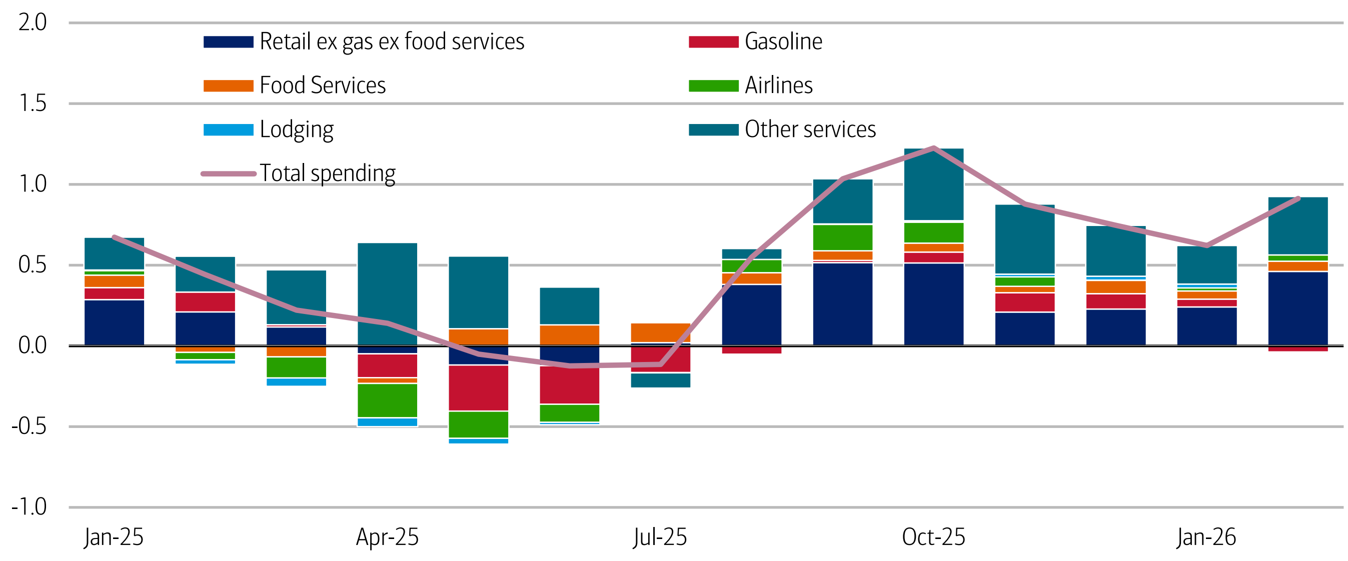
Services still in the driver's seat of card spending growth

What are people spending on? Recent momentum looks fairly balanced between services and retail spending. Services spending reflects positive contributions from highly discretionary categories like lodging, airlines and food services, and a broader range of other services (Exhibit 4), though retail spending (excluding gasoline and food services) also shows positive growth.

Gasoline spending has made little contribution to spending in recent months, up or down. But recent rises in the international price of oil and the knock-on effect on gasoline prices may put some upward pressure on household spending in this category in due course, potentially chipping away at some discretionary spending. That said, it is too early to be sure – it will ultimately depend on the extent and duration of higher prices at the pump.

Exhibit 4: Services spending is still the mainstay of overall spending momentum

Contribution to overall three-month on three-month credit and debit card spending growth by category (percentage points)



Source: Bank of America internal data

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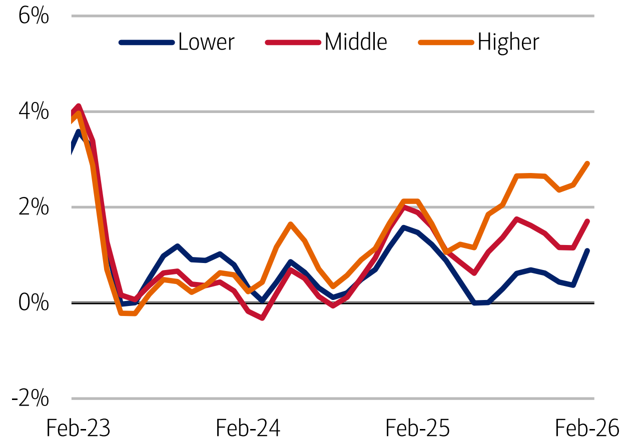
The spending "K" narrows (temporarily?)

The good news is that all income cohorts saw a rise in their three-month average YoY spending growth rates in February. In fact, the "K-shape" (or divergence) in spending growth between higher- and lower-income households narrowed slightly in February. Lower-income households spending growth was 1.1% YoY, 1.8 percentage points lower than higher-income households, at 2.9%. That is the lowest differential in growth between the cohorts in six months, but still substantial. Meanwhile middle-income households' spending growth was 1.7%, marking a 1.2 percentage point gap with higher-income households (Exhibit 5).

However, in our view, after-tax wage growth underpins these divergences in spending and suggests the underlying driver of the "K" isn't going away. In Bank of America customer deposit account data, the gap between higher-income households and all others was the largest since the data started being collected in 2015. Higher-income households' wage growth improved to 4.2% YoY in February from 3.8% YoY in January (Exhibit 6). Meanwhile, middle- and lower-income households saw wage growth cool by nearly 30 basis points to 1.2% YoY and 0.6% YoY, respectively. Notably, this is the first time that lower-income households' spending outpaced their wage growth since March 2022.

Exhibit 5: Lower-income households' spending growth accelerated to 1.1% YoY in February, a stronger improvement than the 2.9% YoY growth in higher-income households

Total credit and debit card spending per household, according to Bank of America card data, by household income terciles (3-month moving average, YoY%, SA)



Source: Bank of America internal data

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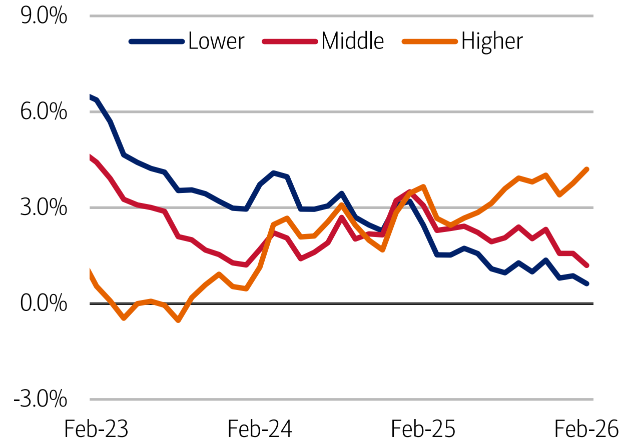
Exhibit 6: In February, lower-income households' after-tax wage growth was 0.6% YoY, while higher-income households' wage growth was 4.2% YoY

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (3-month moving average, YoY%, SA)



Source: Bank of America internal data

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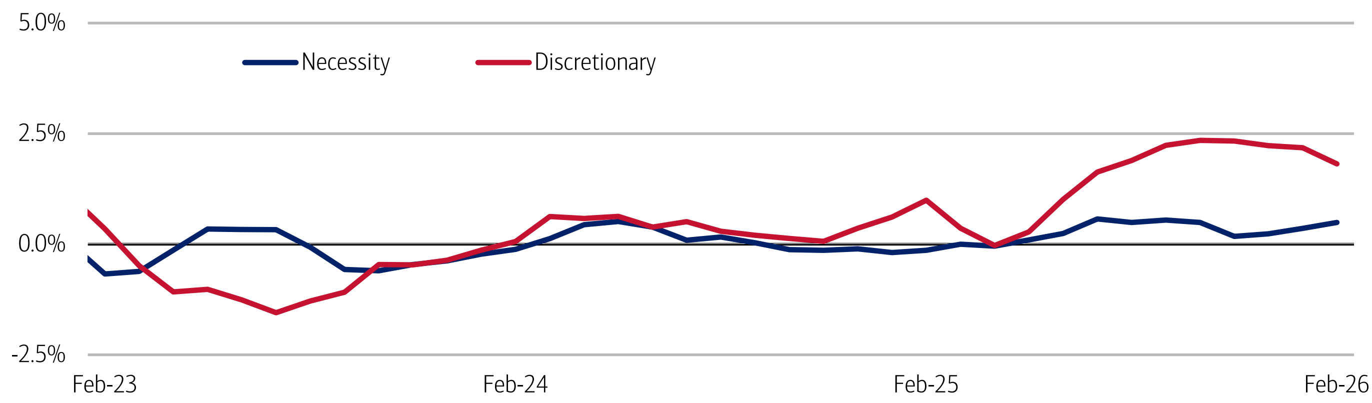
Some of the narrowing in the higher- to lower-income spending growth "K", this month, may reflect temporary boosts to lower-income households' spending after receiving tax refunds. But unsurprisingly over the past year, weaker wage growth for lower- and middle-income households is most obviously impacting their ability to spend on discretionary categories (Exhibit 7).

Exhibit 7: The "K" is kicking hardest in discretionary spending, although it has narrowed some since the beginning of the year

The difference between the card spending growth of higher- and lower-income households on necessity and discretionary categories (3-month moving average, percentage points, SA)



Source: Bank of America internal data. Necessity spending includes gas, groceries, and utilities

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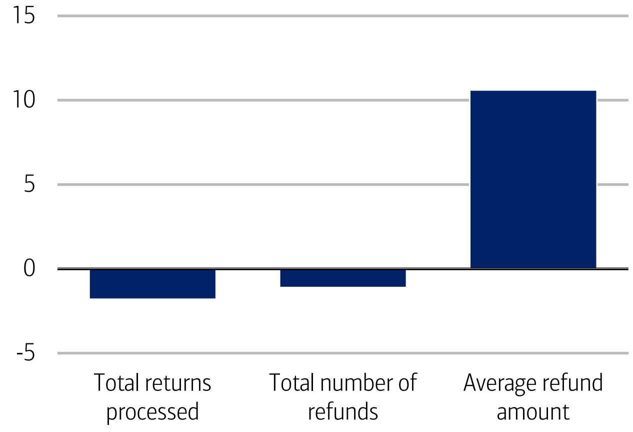
Higher-income households are seeing larger bumps to tax refunds so far

It's early in the 2026 tax season and there have been fewer tax returns processed and tax refunds issued than at the same point in 2025, according to the Internal Revenue Service (IRS) (Exhibit 8). However, so far, Bank of America deposit account data suggests that higher-income households have received larger increases in their tax refunds compared to other income cohorts (Exhibit 9). BofA Global Research also notes that the stimulus from the One Big Beautiful Bill Act (OBBBA) has so far come primarily through lower tax payments rather than refunds, a dynamic that may skew more toward higher-income households.

Exhibit 8: So far this tax season the number of payments and refunds is lagging 2025

The number of returns processed, and tax refunds issued, through February 27 compared to similar period last year (YoY%)



Source: Internal Revenue Service (IRS) data through February 27

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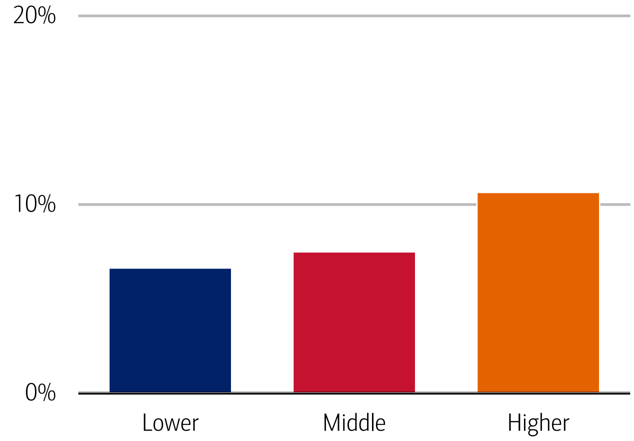
Exhibit 9: Average refunds are up most for higher-income households

Average tax refund by household income tercile through February 27 compared to similar period last year (aggregate, YoY%)



Source: Bank of America internal data

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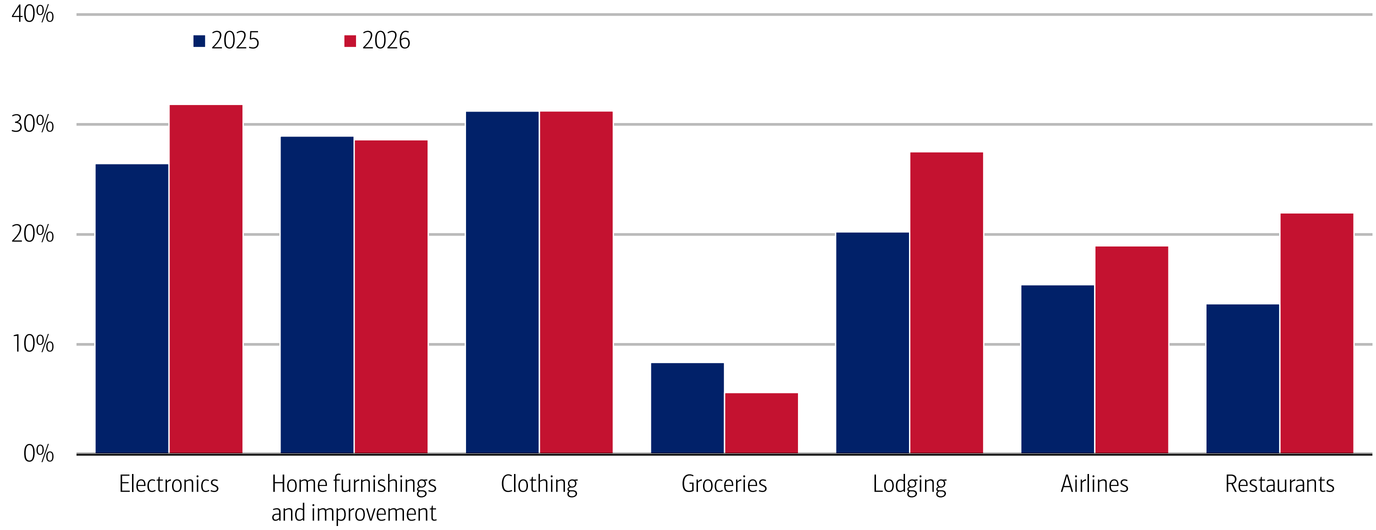
Early filers are spending on electronics and travel

Although the situation is still developing, comparing Bank of America payments data on spending before and after receipt of a tax refund gives us a sense of which spending categories get a boost from tax refunds. It appears that so far early filers have tended to favor electronics, home improvement, clothing and travel spending (Exhibit 10).

Interestingly, compared to the boost from refunds in 2025, travel and entertainment categories (lodging, airlines and restaurants) have all seen larger relative rises, with electronics seeing the largest comparative bump.

Exhibit 10: Earlier filers tend to spend slightly more on electronics, travel and restaurants

Spending across all payment channels in the three weeks after receipt of tax refund compared to average of three weeks before by select retail and service categories weekly, % change)



Source: Bank of America internal data.

Note: includes tax refunds up to February 6, 2026, compared to the entire tax period for 2025.

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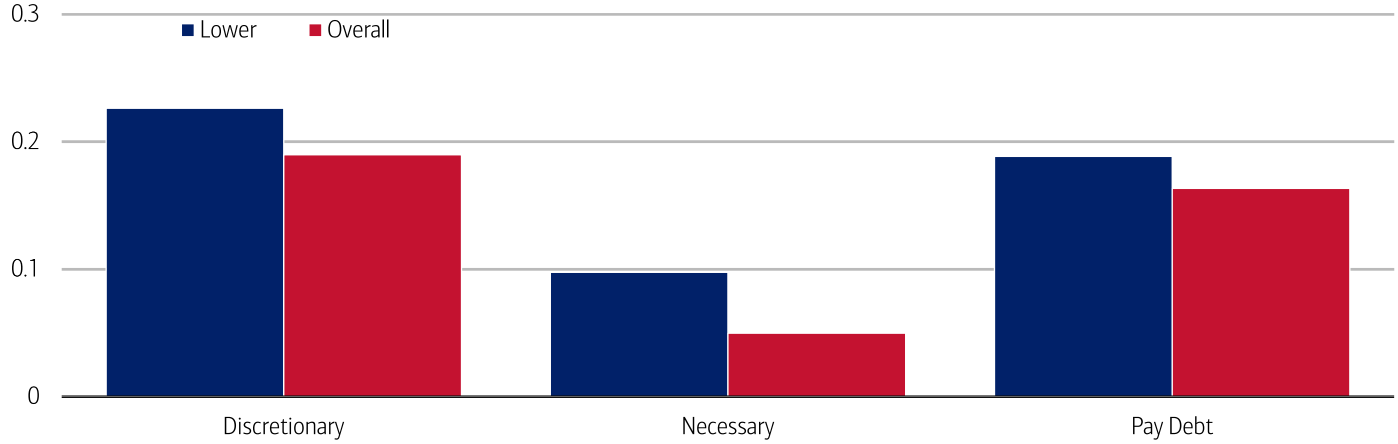
Another important note: despite average refunds rising faster for higher-income households, lower-income households have so far seen stronger boosts in spending across many discretionary categories like electronics, clothing, airlines and cruises so far in 2026 (Exhibit 11). In our view, this is likely due to tax refunds being larger relative to lower-income households' typical spending levels (read more in our publication: Consumer Checkpoint: Sloppy start, solid finish). This could also help explain some of the, likely temporary, narrowing in the overall K-shaped spending growth between higher- and lower-income households.

Exhibit 11: Lower-income households have seen a larger refund-driven spending boost relative to middle- and higher-income households

Spending across all payment channels in the three weeks after receipt of tax refund compared to average of three weeks before for select categories by household income tercile (2026, % change)



Source: Bank of America internal data

Note: includes tax refunds up to February 6, 2026. Debt payments include internal (BAC) and external debt payments.

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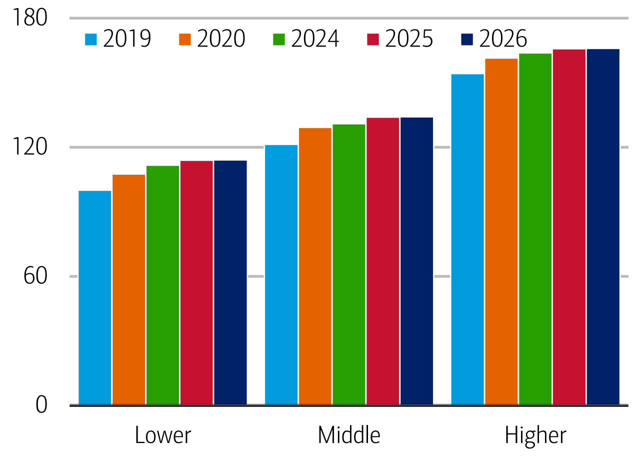
Most consumers are on top of credit card debt, with signs of stress at the margins

Post-refund debt payments have also risen across income cohorts so far, and the fact that that households are prioritizing debt repayment aligns with Bank of America internal data showing that the share of households paying their credit card balance in full each month has increased across all income levels over the past two years and relative to 2019 (Exhibit 12). This suggests to us that consumers generally maintain robust financial health. However, it is notable that the share of consumers making only minimum credit card payments has also been rising over the past two years, though this trend appears to have slowed across income cohorts (Exhibit 13).

Exhibit 12: The share of those who pay off their entire credit card balance every month is above 2019 levels for all income groups

Ratio of households who pay off their entire credit card balance every month to total households in Bank of America credit card data, by household income terciles (yearly average, index lower-income households' 2019 average = 100)



Source: Bank of America internal data

Note: 2026 data reflects January and February

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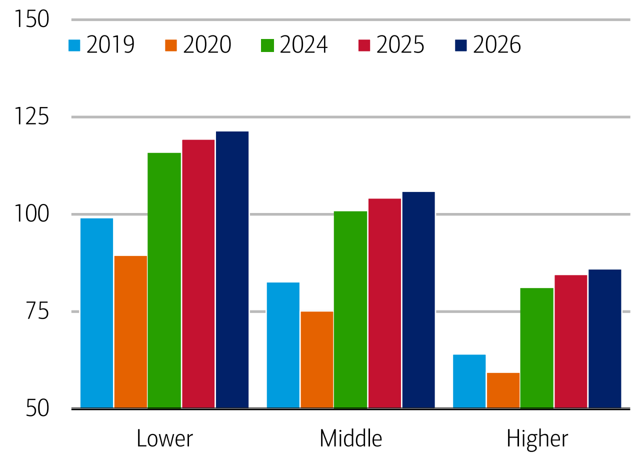
Exhibit 13: The share of minimum credit card payers is increasing in 2026*, albeit at a slower pace than last year

The share of households making minimum credit card debt payments by household income tercile (yearly, index lower-income households' 2019 average = 100)



Source: Bank of America internal data

Note: 2026 data reflects January and February

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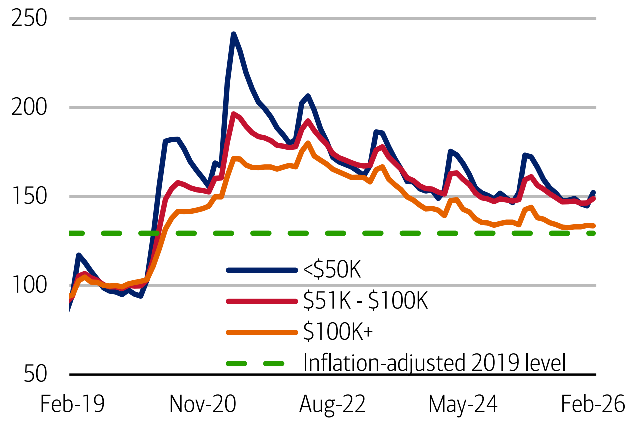
Deposit balances tend to rise over tax refund season

Typically, over the tax filing season, savings and checking balances get a boost as refunds are paid in. In Bank of America deposit data, we can begin to see signs of this in the February data. It also indicates that households across the income spectrum continue to hold large balances in both nominal and inflation-adjusted terms compared to 2019 (Exhibit 14). Notably, consumers making less than $100K a year saw the first YoY increases in their deposit levels in nearly four years, while consumers making over $100K saw only a minor decrease (Exhibit 15).

Exhibit 14: Median checking and savings deposit balances remain above inflation-adjusted 2019 levels

Monthly median household savings and checking balances by income for a fixed group of households through February 2026 (monthly, indexed 2019 = 100)



Source: Bank of America internal data

Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through February 2026.

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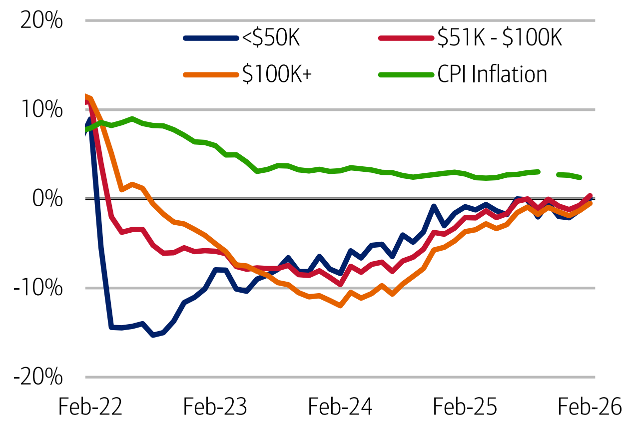
Exhibit 15: Lower- and middle-income households saw YoY increases in deposits

Monthly median household savings and checking balances by income for a fixed group of households through February 2026, based on Bank of America deposit data and Consumer Price Index inflation (CPI), based on latest Bureau of Labor Statistics data (% YoY, monthly)



Source: Bank of America internal data

Note: Monthly data includes those households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through February 2026. CPI inflation is through January.

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under $5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.

2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.

3. Overall total card spending includes small business card spending while per household card spending does not.

4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).

5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to childcare, rent, insurance, insurance, public transportation, and tax payments. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Discretionary retail includes but is not limited to general merchandise, miscellaneous, clothing, electronics, furniture. It excludes categories like groceries and gasoline. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category. Value and premium grocers are determined judgmentally on a proprietary analysis of merchants by equity analysts.

Durables spending is defined as spending on electronics, building materials, auto and furniture. Premium durables spending is based on a selection of retailers who are judged to sell relatively higher value products. Conversely, value durables spending is based on a selection of retailers who are judged to sell relatively lower value products.

For analysis looking at higher value transactions (including durables), we consider a value per transaction threshold estimated with reference to the top 30% of transactions by value in 2024. The share of higher value transactions is then the number of transactions above this threshold as a percentage of total transactions over time.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Major grocery categories include sugar and sweets, juices and other non-alcoholic beverages, bakery products, processed fruits and vegetables, fresh fruit and vegetables, coffee and tea, fats and oils, milk, cereal and cereal products, other, cheese, and meats, poultry and fish, Other includes soups, snacks, frozen and freeze-dried prepared foods, and spices, seasonings, and condiments.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995
3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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The Institute Employment Report: February 2026

04 March 2026

Key takeaways

- Payrolls growth accelerated to 1.3% year-over-year (YoY) in February, according to an estimate of payrolls based on Bank of America customer account data. At the same time, the growth in the number of households receiving unemployment benefits has flattened out. Overall, the impression is of a strengthening labor market in the early months of 2026.
- But there is a more concerning picture in Bank of America customer account data on after-tax wages and salaries. In particular, while higher-income wage growth rose to 4.2% YoY in February, lower- and middle-income wage growth slowed, to 0.6% and 1.2% YoY, respectively. The gap between higher-income wage growth and other cohorts is the largest it has been since the beginning of our data series.
- One reason for cooling wage growth amongst lower- and middle-income households may be weaker pay raises when changing jobs. In Bank of America internal data, the pay raise associated with a job change was 6.7% in January, down from the 2025 annual average of 8.6% and the double-digit gains during the "Great Resignation" period.

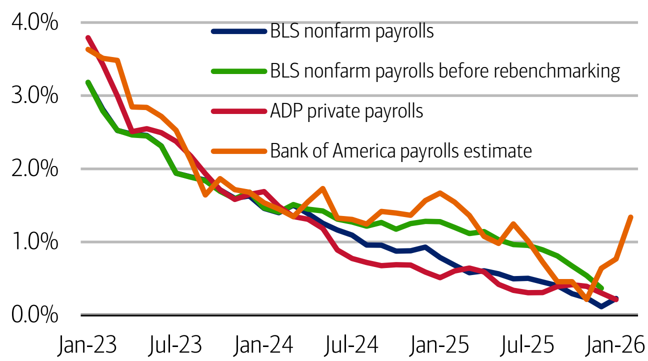
Payrolls growth accelerated again in February

Bank of America deposit account data suggests the recovery in payrolls growth we saw in January continued into February, while unemployment payments growth remained relatively flat. But the picture on wage growth in our data was less encouraging.

We use Bank of America consumer deposit data to estimate a payrolls series by looking at how the number of customer accounts receiving a paycheck is changing (see methodology). This data can be fairly noisy, partly due to seasonal variation. However, looking at a three-month moving average, Exhibit 1 suggests that the year-over-year (YoY) growth in our measure rose to 1.3% in February 2026, up from the 0.8% YoY in January.

Exhibit 1: Bank of America internal data continues to suggest an ongoing job growth rebound

Payroll estimates from Bank of America internal data (three-month moving average, % YoY), the Bureau of Labor Statistics (BLS) and Automatic Data Processing (ADP) (monthly, YoY)



Source: Bank of America internal data, Haver Analytics

Note: BLS and ADP data are seasonally adjusted, Bank of America data is not seasonally adjusted.

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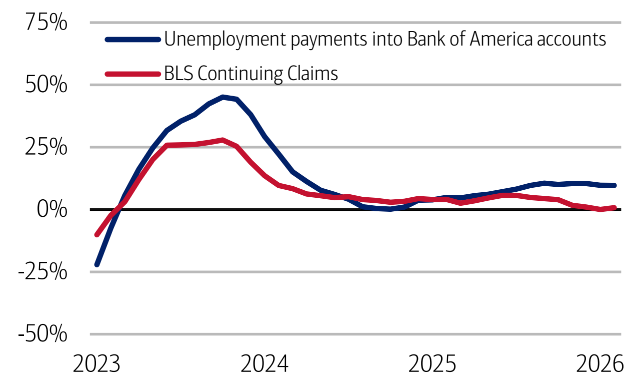
Exhibit 2: Unemployment payments into Bank of America customer accounts show fairly steady growth

Number of households receiving unemployment payments (three-month moving average, YoY%, not seasonally adjusted (NSA)) and Continuing Claims (three-month moving average, YoY%, seasonally adjusted (SA))



Source: Bank of America internal data, Bloomberg

Note: February Continuing Claims YoY data is average for weeks through February 13, 2026.

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The latest Bureau of Labor Statistics' (BLS) payroll estimate was revised lower following the benchmark revision process. This downward adjustment means BLS payrolls growth is now estimated to be lower in 2024/25 than previously estimated, implying our estimate of payrolls growth appears stronger than the official data over the period. Nonetheless, in our view, the positive growth in our estimate is a useful directional signal, indicating that the official data may have upside growth potential in coming releases.

Bank of America data on unemployment payments into customer accounts is broadly consistent with an improvement in the labor market. Exhibit 2 shows the growth in unemployment payments into Bank of America customer accounts has leveled-off at just below 10% YoY.

But the slowdown in middle-income households' wage growth has quickened

While the picture on stronger payrolls growth is "good news," there is a concerning picture coming from Bank of America deposit data on households' after-tax wage and salary growth.

One concern is that the gap between higher- and lower-income households' after-tax wage growth is wide. In fact, in the February data, higher-income after-tax wage growth accelerated to 4.2% YoY, while lower-income after-tax wage growth dropped back to 0.6% YoY. This means the gap between higher- and lower-income households wage growth was 3.6 percentage points (pp) – the highest of any point in our data, which begins in 2015.

As we discussed in last month's Employment Report, signs that middle-income households' after-tax wage growth was softening were also a concern. And in the February data we have seen this trend accelerate. Middle-income after-tax wage growth fell to 1.2% YoY in February, making the gap with higher-income wage growth also the widest it has been over the length of our series.

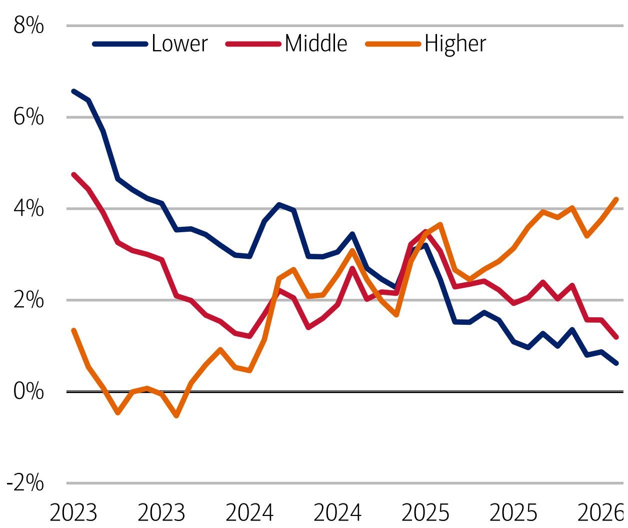
What's driving softer after-tax wage growth for lower- and middle-income households in our data? In part, it appears to be smaller raises for those changing jobs. In Bank of America deposit data, the pay raise associated with a job change was 6.7% in January, down from the 2025 annual average of 8.6% and the double-digit gains during the "Great Resignation" period in 2021-22 (Exhibit 4).

It could be that these softer gains from switching jobs are landing hardest on lower- and middle-income households, given these groups often achieve wage progression through job moves. We also discuss job-to-job pay raises and the differences between men and women in our publication: Where are women positioned in a "K-shaped" economy?.

While the short-run outlook for consumers is being buoyed by higher tax refunds, how the dichotomy in our data between strong jobs growth and growing income divergence develops will, in our view, be key later this year.

Exhibit 3: In February, lower-income households' after-tax wage growth was 0.6% YoY, while higher-income households' wage growth was 4.2% YoY

After-tax wage and salary growth by household income terciles, based on Bank of America aggregated consumer deposit account data (3-month moving average, YoY%, SA)



Source: Bank of America internal data

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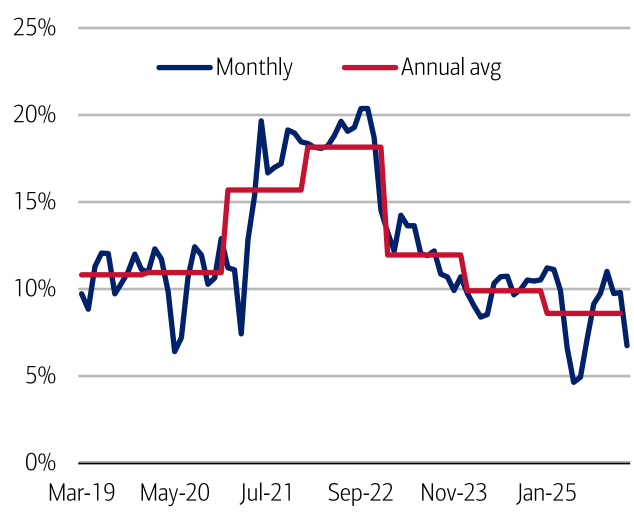
Exhibit 4: In 2025, the annual average pay raise associated with a job change was 8.6%, and in January 2026, this dropped further to 6.7%

Median pay raise for job-to-job movers (%, monthly, 3-month moving average, and annual average)*



Source: Bank of America internal data

*Calculated as the change in pay in the three months from a job move compared to pay over the same three months a year earlier.

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Methodology

Selected Bank of America transaction data is used to inform the macroeconomic views expressed in this report and should be considered in the context of other economic indicators and publicly available information. In certain instances, the data may provide directional and/or predictive value. The data used is not comprehensive; it is based on **aggregated and anonymized** selections of Bank of America data and may reflect a degree of selection bias and limitations on the data available.

Any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash, and checks.

Any **Small Business** payments data represents aggregate spend from Small Business clients with a deposit account or a Small Business credit card. Payroll payments data include channels such as ACH (automated clearing house), bill pay, checks and wire. Bank of America per Small Business client data represents activity spending from active Small Business clients with a deposit account or a Small Business credit card and at least one transaction in each month. Small businesses in this report include business clients within Bank of America and generally defined as under $5mm in annual sales revenue.

Unless otherwise stated, data is not adjusted for seasonality, processing days or portfolio changes, and may be subject to periodic revisions.

The differences between the total and per household card spending growth rate (if discussed) can be explained by the following reasons:

1. Overall total card spending growth is partially boosted by the growth in the number of active cardholders in our sample. This could be due to an increasing customer base or inactive customers using their cards more frequently.

2. Per household card spending growth only looks at households that complete at least five transactions with Bank of America cards in the month. Per household spending growth isolates impacts from a changing sample size, which could be unrelated to underlying economic momentum, and potential spending volatility from less active users.

3. Overall total card spending includes small business card spending while per household card spending does not.

4. Differences due to using processing dates (total card spending) versus transaction date (per household card spending).

5. Other differences including household formations due to young adults moving in and out of their parent's houses during COVID.

Any household consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level. Whenever median household savings and checking balances are quoted, the data is based on a fixed cohort of households that had a consumer deposit account (checking and/or savings account) for all months from January 2019 through the most current month of data shown.

Bank of America aggregated credit/debit card spending per household includes spending from active US households only. Only consumer card holders making a minimum of five transactions a month are included in the dataset. Spending from corporate cards are excluded. Data regarding merchants who receive payments are identified and classified by the Merchant Categorization Code (MCC) defined by financial services companies. The data are mapped using proprietary methods from the MCCs to the North American Industry Classification System (NAICS), which is also used by the Census Bureau, in order to classify spending data by subsector. Spending data may also be classified by other proprietary methods not using MCCs.

We consider a measure of services necessity spending that includes but is not limited to childcare, rent, insurance, public transportation, and tax payments. Discretionary services includes but is not limited to charitable donations, leisure travel, entertainment, and professional/consumer services. Holiday spending is defined as items in which spending in the November-December period is usually at least 20% of total annual spending on the category.

For analysis looking at higher value transactions (including durables), we consider a value per transaction threshold estimated with reference to the top 30% of transactions by value in 2024. The share of higher value transactions is then the number of transactions above this threshold as a percentage of total transactions over time.

Lower, middle and higher household income cuts in Bank of America credit and debit card spending per household, and consumer deposit account data are based on quantitative estimates of each households' income. These quantitative estimates are bucketed according to terciles, with a third of households placed in each tercile periodically. The lowest tercile represents 'lower income', the middle tercile represents 'middle income' and the highest tercile 'higher income'. The income thresholds between these terciles will move over time, reflecting any number of factors that impact income, including general wage inflation, changes in social security payments and individual households' income. The income and tercile in which a household is categorised are periodically re-assessed.

Generations, if discussed, are defined as follows:

1. Gen Z, born after 1995
2. Younger Millennials: born between 1989-1995
3. Older Millennials: born between 1978-1988
4. Gen Xers: born between 1965-1977
5. Baby Boomer: 1946-1964
6. Traditionalists: pre-1946

Any reference to card spending per household on gasoline includes all purchases at gasoline stations and might include purchases of non-gas items.

Estimate of payrolls growth from Bank of America internal data is based on the change in customer accounts receiving a paycheck in the month. An adjustment is made for the difference between overall population growth and customer account growth.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago.

Additional information about the methodology used to aggregate the data is available upon request.

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Disclosures

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Economy

Where are women positioned in a "K-shaped" economy?

03 March 2026

Key takeaways

- Women drove much of the labor force expansion in 2025, as hiring persisted in female-dominated sectors like private education and healthcare. This places women at the center of current labor market strength.
- The slowdown in job switching has sharply reduced the ability of workers to secure higher wages, according to Bank of America deposit account data. In January, the pay increase from a job-to-job change rate was less than half the 2019 average, and, while there is evidence of the gender pay gap narrowing, it's in part because overall wage momentum has weakened.
- As affordability pressures rise and income growth moderates, women are leaning more heavily toward "value" spending. Women's shift toward value has been strongest in apparel, reflecting how labor market pressures are spilling into household budgets.

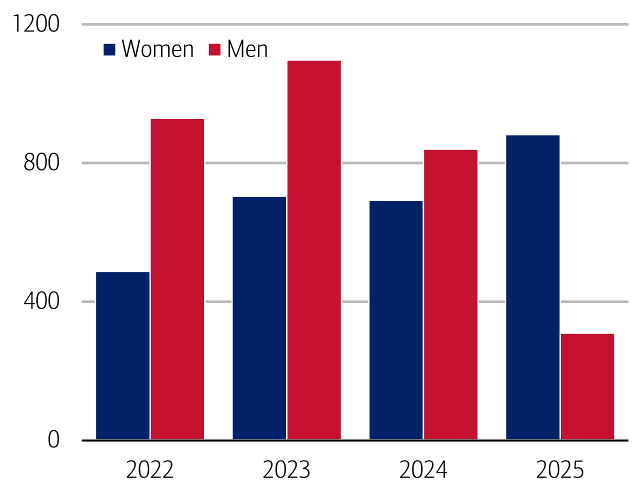
Job gains are concentrated in female-dominated sectors

Women are once again supporting labor market fundamentals. In 2025, the number of jobs added from women was nearly three times the rate of men, according to data from the Bureau of Labor Statistics (BLS) (Exhibit 1). This reversed a trend from over the past three years. In fact, from January 2025 to January 2026, women saw gains in all industries but one where they comprise more than 50% of employment (the exception was financial).

What's driving this? Notably, big gains in private education and healthcare employment (Exhibit 2), a sector in which women comprise 77% of employment as a share of all jobs. In fact, job growth in health care averaged 33,000 per month in 2025 – more than double that of overall payrolls, according to the BLS.

Exhibit 1: For the first time in three years, women joined the labor market in 2025 at nearly three times the rate of men

Civilian labor force aged 16-64 number of jobs added from January-December by sex (thousands, seasonally adjusted, annual)



Source: Haver Analytics

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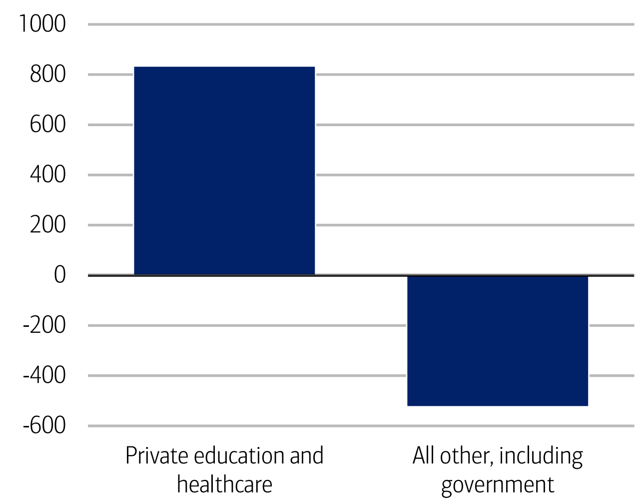
Exhibit 2: Private education and healthcare have contributed to the strongest job gains for more than the past year

Change in employment by sector from January 2025-January 2026 (seasonally adjusted, thousands)



Source: Haver Analytics

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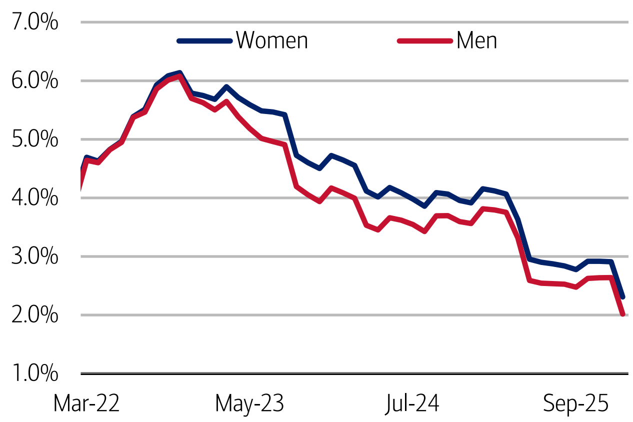
A narrowing in the gender pay gap: A double-edged sword

An increasingly important lens on today's cooling labor market is how pay growth is evolving. For both men and women, the rate of after-tax pay increases – whether tied to staying in a job or switching roles – has moderated meaningfully compared to last year (Exhibit 3).

So too has the rate at which people are changing jobs (read more on this in August's publication on Job hoppers). But there have been small signs of reacceleration in the labor market as of late, and, in January, the job change rates (see Methodology) for both men and women were above the 2025 average and in line with the 2022 average, supporting evidence of possible renewed momentum (Exhibit 4).

Exhibit 3: For both women and men, rate of pay increases have moderated in the past two months after holding steady in the second half of 2025

After-tax pay change by gender (monthly, three-month moving average, %)



Source: Bank of America internal data

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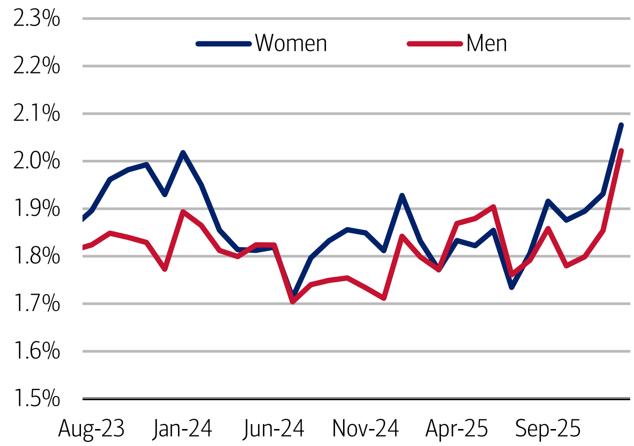
Exhibit 4: In January, the job change rate for women was 2.1% and 2.0% for men

Job change rate by gender (monthly, six-month moving average, %)



Source: Bank of America internal data

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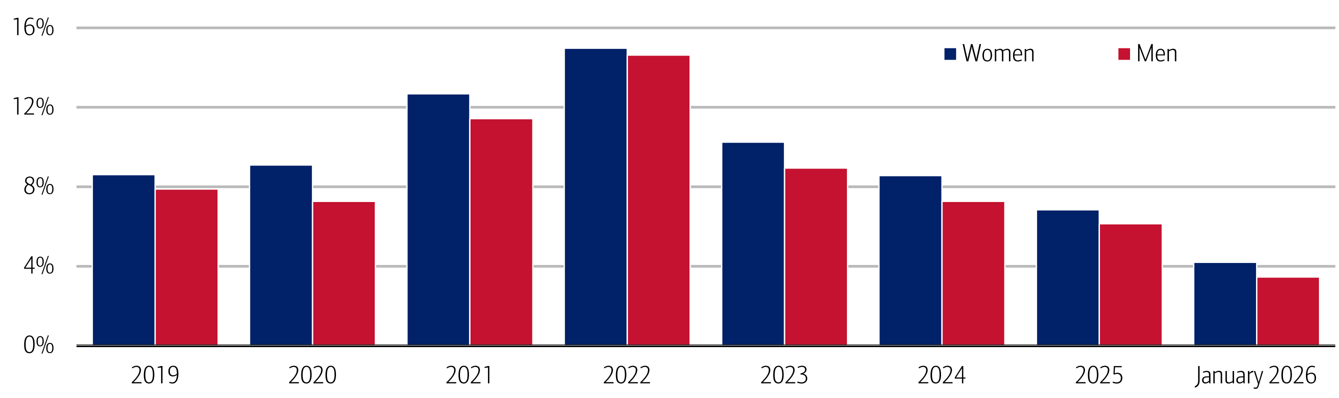
A tougher job market makes pay gains harder to come by

The slowdown in wage increases and job-change activity reflect a labor market that has continued to normalize after several years of momentum. With fewer open roles, the job-change premium – the extra pay boost workers typically receive when they switch jobs – has started to compress across the board. This softening matters because job changing remains one of the most effective ways workers secure higher pay.

Men have recently seen a slightly stronger increase in the year-over-year growth in job-change rates, giving them somewhat more bargaining power to tap into the still-remaining pockets of opportunity for higher pay. Even so, according to Bank of America deposit account data, the median pay raise associated with a job change has moderated for both men and women, with January's level measuring less than half that of the 2019 average (Exhibit 5).

Exhibit 5: For both men and women, the pay raise associated with a job change continues to moderate

Median pay raise for job-to-job movers by gender (%, annual average)*



Source: Bank of America internal data

*Calculated as the change in pay in the three months from a job move compared to pay over the same three months a year earlier.

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Women maintaining a modest edge in job-change pay raises is a positive sign for narrowing the gender pay gap, though it may also reflect differences in starting salary levels or sector mix, both of which influence percentage gains (read more on this in March's Women and wealth publication).

Looking ahead, if "low-hire, low-fire" continues to characterize the labor market, the job-change premium could compress further, limiting the extent to which workers can secure meaningful pay bumps by switching roles.

Unemployment holds steady, but the gender gap in pay disruptions has widened

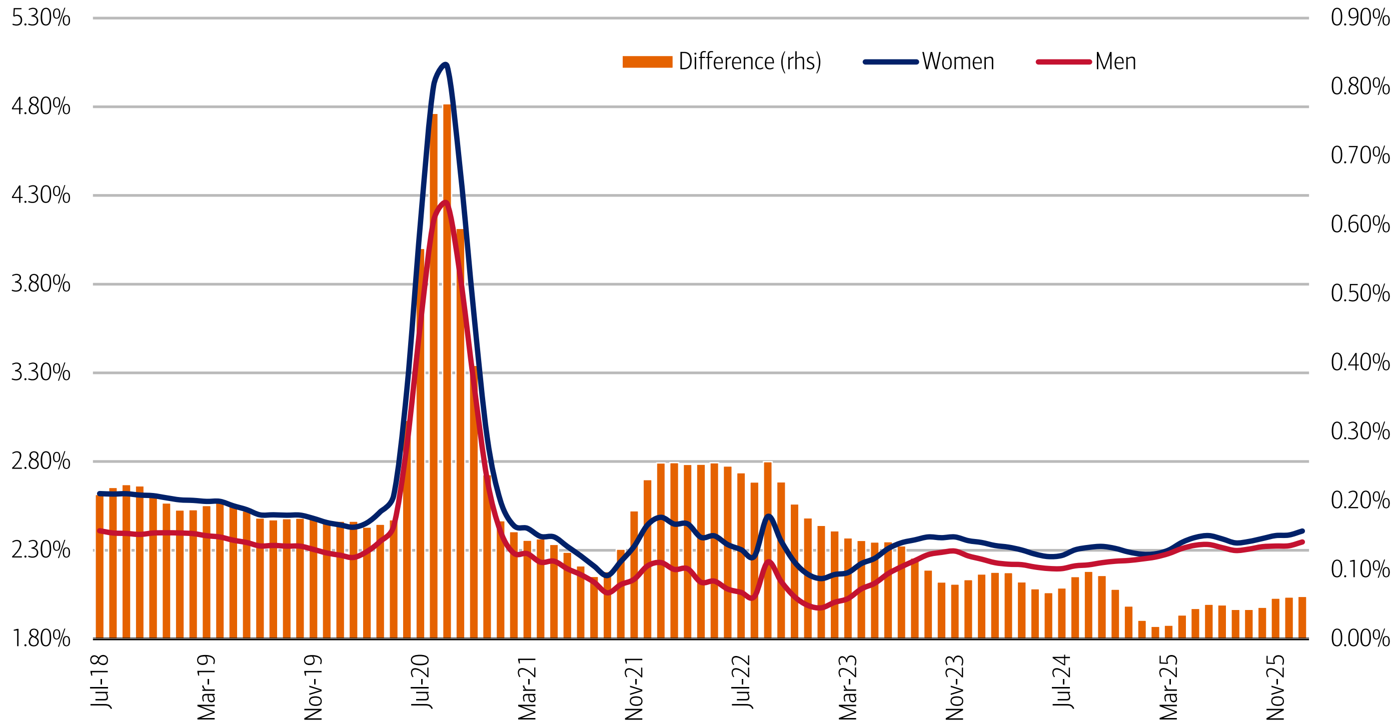
Although the overall unemployment rate has not set off any alarm bells, with growing evidence of a divergence in labor market trends across income cohorts, we also see a difference in participation between men and women in the workforce.

After having narrowed in 2025, the gap between women and men's pay disruption rate which, in our view, acts as a proxy for someone who has either temporarily or permanently left the labor force (see Methodology - Pay Disruption Rate), has widened marginally and both rates have increased over the past year (Exhibit 6).

Those increases mean that people are now more likely to experience a pause in pay – a clear marker of a softening labor market. It may also, perhaps, be an early sign of a slightly uneven labor market between men and women. Still, the good news is for both the pay disruption rate and difference between them remains below 2019 levels, according to Bank of America deposit account data.

Exhibit 6: After having narrowed in 2025, the gap between women and men's pay disruption rate has widened marginally in January

Pay disruption rate by gender (seasonally adjusted three-month moving average, %, monthly and difference (right-hand side (rhs), monthly, three-month moving average, %))



Source: Bank of America internal data

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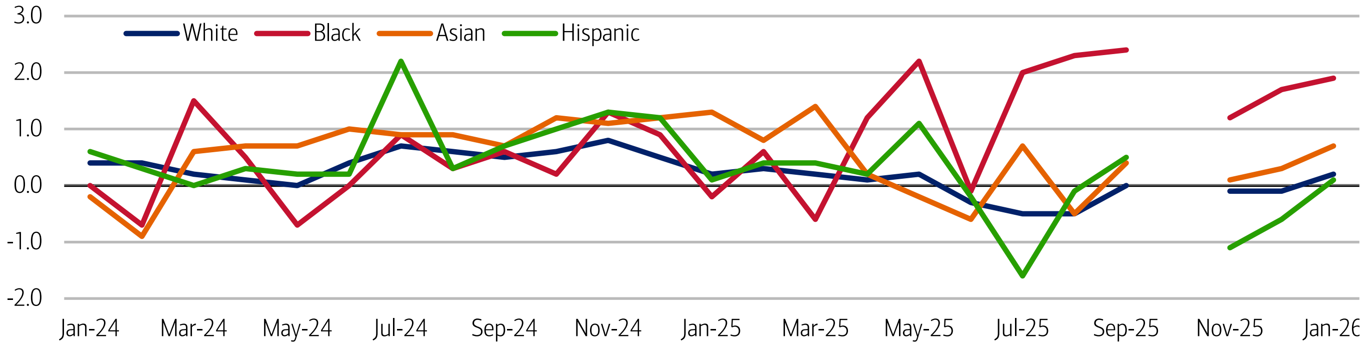
Digging deeper: Black women's unemployment rate rising fastest

It's important to note that among women, there are differences in the labor market. Over the past year, prime-age (25-54) Black women have experienced greater employment losses than other groups of women, according to data from the BLS (Exhibit 7).

While Black women saw a net increase in private-sector employment in 2025 – primarily in the growing education and health services industry – there were net losses in six of the 12 major private-sector industries, according to an analysis by the Economic Policy Institute, a nonpartisan think tank.

About one-third of the losses were in other services, a category which includes jobs in beauty and personal services, followed by 25% in manufacturing, 21% in financial activities, and 15% in professional and business services.[1] The public sector was also a notable contributor to these losses.

Exhibit 7: Black women's growth in the unemployment rate has outpaced other women by a wider margin since June 2025
Unemployment rate of prime-age women by race (not seasonally adjusted, percent change from a year ago, monthly, %)



Source: Haver Analytics
Note: The gap in data is due to the government shutdown in October 2025.

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Women prioritize stretching their dollars

Stronger income growth for women – either through job changes or otherwise – drives further financial stability and fuels spending growth (read more on this in September's A window into women's pay and purchasing power report). And weaker labor market conditions weigh on spending.

With affordability pressures on the rise (read more on this in February's Consumer Checkpoint), trading down remains a key strategy when it comes to spending, and we see evidence of that in a proprietary gauge that ranks spending across "premium," "standard" or "value" tiers, which we call the spending tier composite (STC, see Methodology).

Based on our analysis, "value" continues to gain appeal overall, but the gap between men and women's STC has widened (Exhibit 8). And though the difference between STC by gender has come down since pre-pandemic, it is starting to marginally increase once again, with women still seeking value when they shop slightly more than men.

According to Bank of America data, across all categories except apparel, women's STC has improved over the past few months, with grocery having the strongest gains (Exhibit 9). These patterns reinforce the narrative that as labor market momentum slows, the trend of consumers seeking value is likely to persist.

Exhibit 8: The difference between men and women's STC has continued to widen since 2021, suggesting women seek value more often than men
Difference between men and women's STC (monthly, 3-month moving average)

Source: Bank of America internal data

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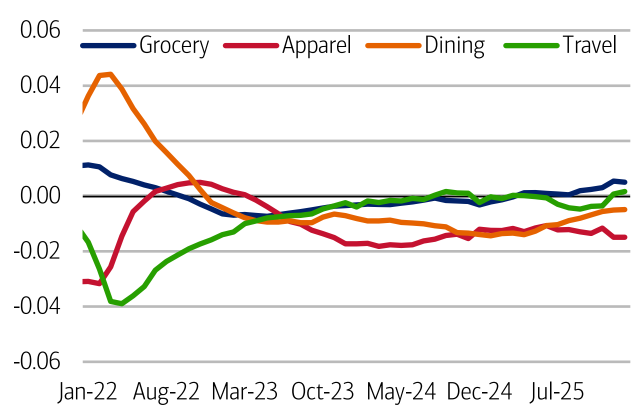
Exhibit 9: Across all categories except apparel, women's STC has improved over the past few months
Women's STC by spending category (percent difference from prior year, monthly, 3-month moving average)



Source: Bank of America internal data

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[1] Wilson, V. (2026, February 10). *Black women suffered large employment losses in 2025—particularly among college graduates and public-sector workers* | Economic Policy Institute

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Three tiers (premium, standard and value) were based on after-tax median income derived from payroll direct deposit of individual customers who have shopped at such stores. The stores were then ranked by the median income of their shoppers, with the top third denoted as "premium," the middle third as "standard," and the bottom third as "value." In our view, such categorization is a fair view of how expensive the items are at those stores. Any stores included has had at least 100,000 individual Bank of America customers making at least one purchase during the past 12 months.

The sample of customers in this analysis includes a dynamic pool of customers that have a checking, a saving or a credit card account with BAC each month. Each customer's tier was determined by taking customer spending during the past 12 months, across the three tiers. The tier with the highest percent of spending will determine the customer's tier for each category. For example, if the customer spent the majority of their apparel dollars at premium tier apparel stores, the customer's apparel tier is designated as premium tier, even though they might still have apparel spending at the value/standard tier. This is repeated for dining (restaurants, bars, etc.), travel (hotel lines, car rental agencies, airlines, etc.), and grocery stores.

For the "spending tier composite", or STC, if a person spends most of their money at the premium tier, that equals a score of "3," while standard is a "2" and value equals "1." This is done across four major spending categories: groceries, apparel, restaurants and/or travel. The highest score that can be achieved is a "12" (if someone spends the majority of their money at premium stores across all four categories), while the lowest is a "3" (if another person spends the majority of their money at value stores for groceries, restaurants, and apparel and has no travel spending). Then, we take an average of everyone in our sample to get a spending tier composite.

If applicable, the consumer deposit data based on Bank of America internal data is derived by anonymizing and aggregating data from Bank of America consumer deposit accounts in the US and analyzing that data at a highly aggregated level.

If applicable, any payments data represents aggregated spend from US Retail, Preferred, Small Business and Wealth Management clients with a deposit account or credit card. Any reference to aggregated spend include total credit card, debit card, ACH, wires, bill pay, business/peer-to-peer, cash and checks.

Median annual income growth is derived from customers who have a valid income value for every month over the time period and who have a non-null gender code. Gender data is self-select.

The Pay Disruption Rate is defined as the proportion of customers who previously had 12 months of regular payroll payments into their accounts, followed by at least 3 and up to 6 months of no payments, relative to the total number of customers with 12 consecutive months of payroll.

The job-to-job change rate (j2j rate) is defined as the proportion of customers with an identified change in their employer as a proportion of the total number of customers with employment income. We estimate the median pay rise associated with a j2j change using the pay in the first three months of the new job compared to the same three months a year ago who have a non-null gender code.

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Transformation

Physical AI, part 2: Humanoid robots

12 March 2026

Key takeaways

- AI is redefining robotics, enabling a new generation of humanoid robots that can perceive, learn and act autonomously in the physical world. After decades of incremental progress, the field has reached a turning point, with breakthroughs in generative AI and large language models accelerating the rise of "embodied intelligence" and reshaping expectations for what service robots can accomplish.
- The humanoid robot population is poised for take-off. BofA Global Research projects that the number of humanoid units in operation could reach three billion by 2060, surpassing cars on a per-capita basis. While industrial and service applications are expected to lead adoption in the near term, household humanoids are projected to accelerate quickly and ultimately account for the largest share - 62% - by 2060.
- In part 2 of our physical AI series, we outline what you need to know about humanoid robots - including how they work, how they're being used today and key challenges the industry faces as it moves toward large-scale deployment.

Humanoid robots 101

Humanoid robots are a type of service robot designed to move, perceive and interact in ways that resemble human beings. As a type of physical AI, they embody artificial intelligence in a dynamic, mechanical form capable of acting on the world (for readers new to this topic, Physical AI, part 1: The basics provides a helpful foundation). This enables them to operate in complex, unstructured environments, rather than controlled settings. Unlike traditional service robots, which are built for narrow, repetitive tasks, humanoids are required to navigate real-world spaces, interpret human behavior and respond through physical action – placing far greater demands on AI for sensing, motion control and natural-language interaction.

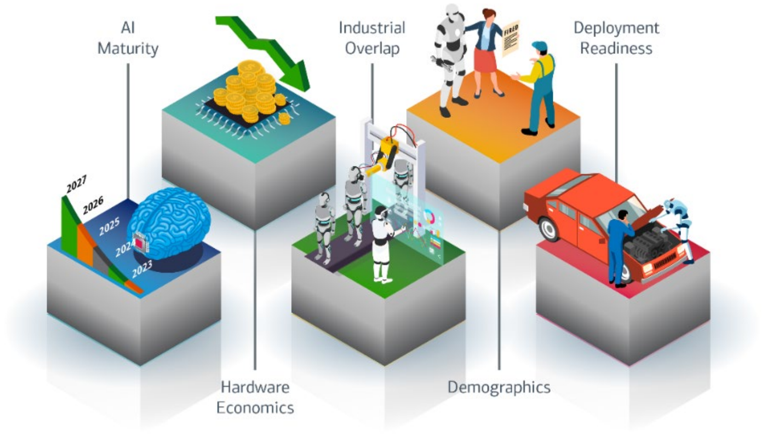
After decades of incremental progress, the field reached a turning point in 2023, as breakthroughs in generative AI and large language models (LLMs) accelerated the emergence of “embodied intelligence.” By giving AI a physical form, humanoid robots can learn directly from the world, translate language into action and adapt to people in real time – reshaping expectations of what robots can do.

Humanoid adoption is accelerating – but why?

According to BofA Global Research, humanoid robot adoption is speeding up (Exhibit 1), mainly because of:

1. **AI maturity**: Model breakthroughs are now enabling more general-purpose learning, better long-term reasoning and more reliable AI operation in unstructured, real-world human environments.
2. **Hardware economics**: Rapid cost declines and improvements across key humanoid components (e.g., batteries, motors, sensors, actuators and onboard AI compute) have lowered the required bill of materials (hardware costs) and boosted overall feasibility of humanoids.
3. **Industrial overlap**: Humanoid robots can tap into existing supply chains, manufacturing methods and capital investment from electric vehicles (EVs), autonomous tech and AI hardware sectors, helping them scale faster and reduce execution risk.
4. **Demographics**: Ongoing labor shortages, aging workforces, wage inflation and high turnover make flexible robotic labor economically appealing across industries, such as manufacturing, logistics and services, even before humanoids fully match human abilities.
5. **Deployment readiness**: Humanoid form factors fit with existing tools, buildings, and workflows, which cuts down on deployment barriers. Together, improved safety, autonomy and self-learning reduce integration, regulatory and operating friction.

Exhibit 1: Tech breakthroughs, economics and demographics are key drivers behind humanoid adoption
Infographic illustrating factors accelerating humanoid robot adoption



Source: BofA Global Research

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Scaling-up from pilot to production

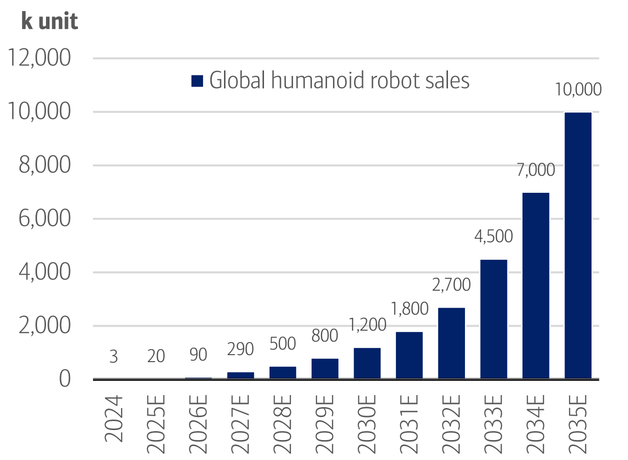
The robot rush: Increased investment is happening now

The commercial race to develop humanoids is heating up as the tech matures and prices decline. Investments have risen sharply – from $0.7 billion in 2018 to $4.3 billion in 2025.[1] And as of January 2026, over 50 companies were in the process of building their own humanoids,[2] with 150 commercial launches to date.[3] So far, the development landscape has bifurcated between companies vertically integrating robots in their own factories and those selling or renting humanoids to their customers.

A robot population boom is on the horizon

BofA Global Research forecasts annual humanoid robot shipments will surge from 20,000 units in 2025 to 10 million by 2035, implying an 86% compound annual growth rate (CAGR) (Exhibit 2). In 2026 alone, sales are expected to reach 90,000, as leading companies ramp up production capacity and scale deployments.

Exhibit 2: Annual humanoid robot shipments are projected to reach 1.2 million in 2030 and 10 million by 2035
Annual global humanoid robot shipments (thousands (k))



Source: BofA Global Research

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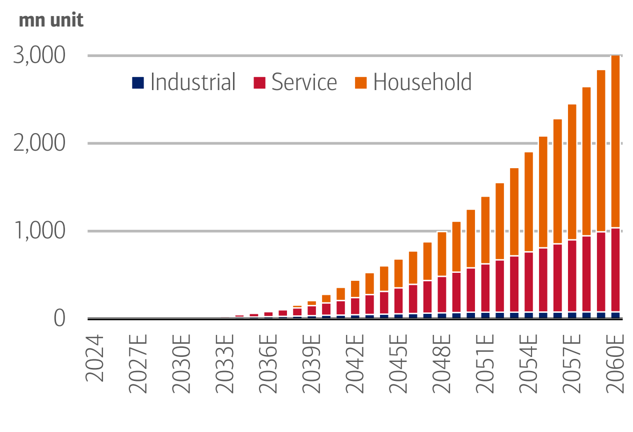
Exhibit 3: The humanoid robot "population" could reach three billion by 2060E
Long-term forecast of humanoid robot units in operation (UIO) by application (millions (mn))



Source: BofA Global Research

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[1] Humanoid Guide. (2026). *Humanoid robot guide.*
[2] Botfino. (n.d.). *Humanoid Robotics Company Intelligence.*
[3] Humanoid Guide. (2026). *Humanoid robot guide.*

As seen in Exhibit 3, the global "robot population" could reach 300 million by 2040 and even three billion units by 2060 – outnumbering cars per capita. While analysts believe industrial and service applications are likely to come first, by 2060 they project household humanoids will make up the largest share (62%, or two billion units).

Economies of scale and tech breakthroughs will significantly reduce costs

Despite recent improvements, the total bill of materials (BOM) or hardware cost of humanoid robots remains relatively high, with pilot-stage development ranging from $90,000 to 100,000 per unit. However, standardizing product specifications has already brought costs down considerably, with further reductions possible with economies of scale. For example, BofA Global Research estimates a built-in China humanoid robot's BOM cost was $35,000 in 2025 but expects it to be roughly cut in half to below $17,000 by 2030, driven by scale effects and continued improvements in component design.

How do humanoid robots work?

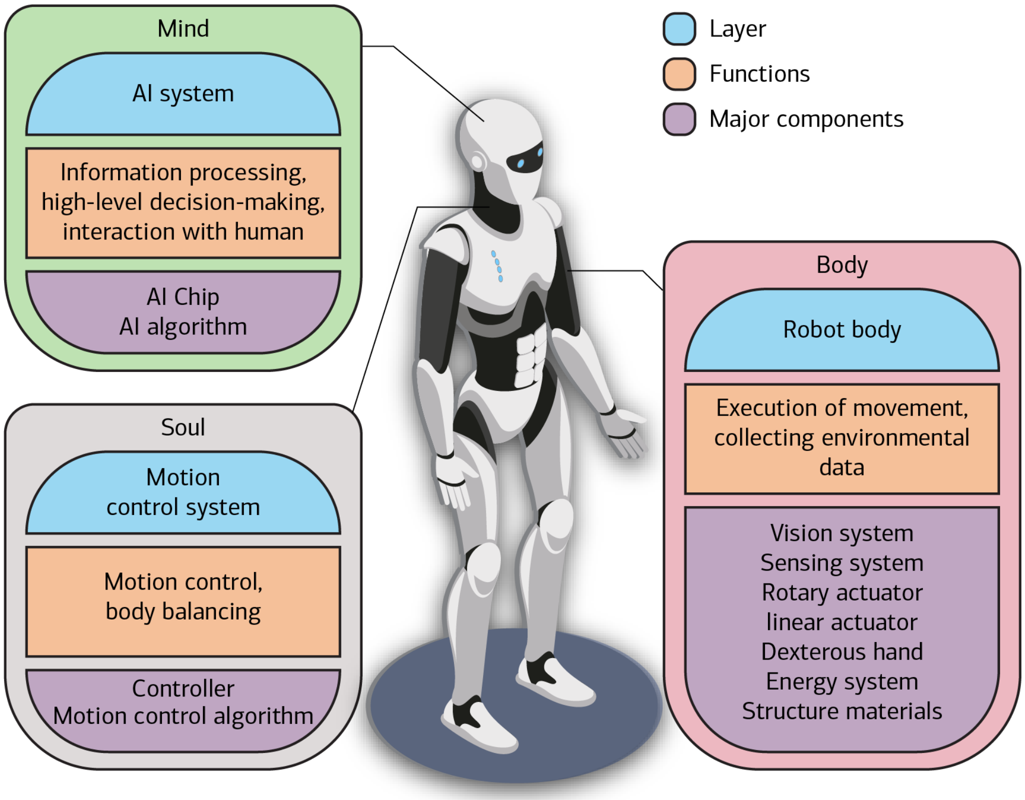
Humanoid robots operate by combining central AI control and compute with mechanical components – actuators, motors, reducers, hands and sensors – to turn intelligence into physical action. While AI systems perceive and decide, high-performance compute processes information in real time, and tightly integrated actuators and sensors deliver balance, dexterity, strength and safe interaction. Together, these elements form the foundation of capable, scalable humanoid autonomy.

Integrating the "mind, body and soul"

The structure of a humanoid robot can be framed as the hardware and software that collectively create the "mind, body and soul" (Exhibit 4). The mind refers to the AI system, which handles high-level cognition, such as environmental understanding, task planning, model inference and interaction with humans. The body of the humanoid comprises the physical components, including vision and sensory systems, actuators, dexterous hands, energy systems and structural materials. And last, the soul represents the motion control system – the robot's internal coordinator – responsible for balance, movement planning and motion execution.

Exhibit 4: A combination of AI chips and algorithms make up the humanoid's mind and soul, with multiple components required for the body – such as actuators, motors, batteries and sensors for vision

Infographic illustrating the mind, body and soul of humanoid robots



Source: BofA Global Research

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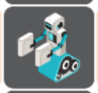
Bot mechanics

From components to capability

Humanoid robots are built from a tightly integrated combination of computing, actuation, sensing and mechanical components that together enable perception, movement and interaction in real-world environments (Exhibit 5). Rather than operating independently, these elements must be synchronized in real-time, with performance evaluated by how effectively intelligence, motion and hardware constraints are integrated. For a more in-depth discussion of humanoid components, check out our prior publication: Humanoid robots 101.

Exhibit 5: Advances in AI and motion control, combined with precision hardware, such as actuators and motors, are the core tech embedded in humanoid robots

Infographic illustrating key components in a humanoid robot

Component		What it does	Why it matters
Control System (AI + Motion Control)		Interprets the world, decides what to do, and coordinates how the robot moves.	Determines how intelligent, safe, and adaptable the robot is in real-world, human environments.
AI Computing & Chips		Provides the processing power needed to run perception, reasoning, and control in real time.	Sets the ceiling on capability, responsiveness, and autonomy; critical for moving from demos to deployment.
Rotary Joint Actuators		Drive rotational movement in joints like shoulders, elbows, hips, and wrists.	Core to mobility and manipulation; quality of integration determines smoothness, precision, and noise.
Linear Joint Actuators		Enable extension and compression in joints such as knees, ankles, and arms.	Essential for strength, balance, and lifting; heavily influences stability and payload capacity.
Dexterous Hands		Allow the robot to grasp, hold, and manipulate objects, including delicate items.	Unlocks household, service, and fine assembly tasks; one of the hardest and most valuable capabilities to replicate.
Reducers (Mechanical Gearing)		Convert motor speed into usable torque for precise joint movement.	Critical for accuracy, durability, and safety; a key differentiator between industrial-grade and prototype robots.
Torque Motors		Deliver compact, high-power movement directly at the joints.	Enable lighter, faster, and more responsive robots with fewer mechanical compromises.
Sensory System (Touch, Force, Balance)		Helps the robot feel contact, understand forces, and maintain balance.	Enables safe interaction with people

Source: BofA Global Research

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Achieving higher degrees of freedom

Advances in dexterous robotic hands are expanding what humanoids can manipulate in real-world settings. A key driver is higher degrees of freedom (DoF) – the number of independent axes of movement across a robot's joints – which directly determines how precisely and flexibly it can position its limbs, hands and fingers. These gains are amplified by fully rotational joints that can turn continuously through 360°, rather than stopping at human-like anatomical limits.

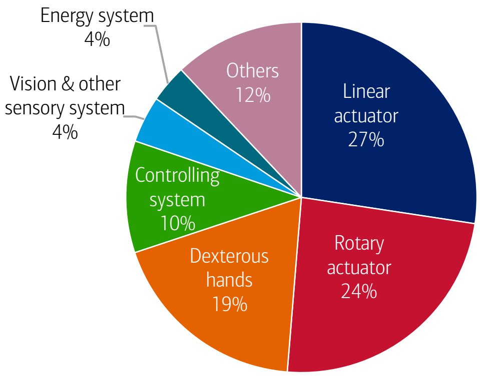
Alongside this, compliant actuators – motors designed to yield under force rather than remain rigid – allow robots to absorb impacts, regulate force and adapt safely when grasping or interacting with uncertain objects. Combined with tactile-sensing and learning-based control, higher DoF and compliance materially increase *usable* dexterity. However, according to BofA Global Research, progress remains constrained by limited high-quality manipulation data and the difficulty of replicating human-level dexterity and improvisation.

Bill-of-material economics: Actuators are actually expensive

The actuation system is the muscle of a humanoid robot, controlling movement, balance and force. The system integrates motors, drives, transmissions and sensors into compact modules that are deployed across both rotary and linear joints. A humanoid typically uses dozens of actuators, underscoring their central role in performance and cost.

By 2030, BofA Global Research projects that linear actuators – which enable extension and compression in humanoid joints – will account for the largest BOM share (27%), followed by rotary actuators (24%) and dexterous hands (19%) (Exhibit 6).

Exhibit 6: Actuators account for more than 50% of the total BOM cost
BOM cost breakdown (by module/system, 2030)



Source: BofA Global Research

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Humanoid use cases

In an aging, labor-constrained global economy, BofA Global Research believes humanoid robots could offer an increasingly cost-competitive form of physical labor, underpinned by improving AI autonomy and manufacturing scale.

From the factory floor to in-home assistants

Humanoid robots are being deployed in a growing range of applications (Exhibit 7). In manufacturing, automotive and warehouse environments, they handle tasks related to moving materials, inspection and assembly. In retail, hospitality and live events, they support customer interactions, restocking and front-of-house services. Emerging applications also include healthcare, homes and education, where humanoids are positioned for assistance, monitoring, training and learning support. Together, these developments reflect a gradual shift from structured industrial settings towards more human-centered environments.

Exhibit 7: From cars to caring – humanoids have a wide variety of use cases
Infographic illustrating humanoid robot use cases

Humanoid Robot Use Cases

Use Case		Description
Manufacturing		Performing industrial assembly, machine tending, and materials-handling tasks.
Warehousing & Logistics		Handling picking, packing, palletizing, and goods movement in distribution settings.
Automotive		Supporting assembly lines, component handling, and factory-floor operations in automotive production.
Retail & Hospitality		Delivering customer greeting, wayfinding, and front-of-house assistance.
Special-Purpose/ Events		Executing demonstrations, exhibitions, performances, and specialised showcase tasks.
Healthcare & Support		Carrying out non-clinical assistance, supply movement, and routine operational tasks in care environments
Home Assistance		Assisting with household chores, tidying, and simple object-handling tasks.
Education & Research		Supporting simulation, training, experimentation, and human-robot interaction studies.

Source: BofA Global Research

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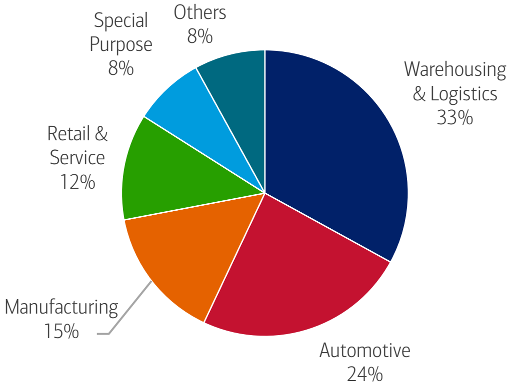
So far, initial humanoid use cases have been mostly industrial and are expected to remain that way in the near term. By 2027, Counterpoint Research estimates that 72% of installations will be in logistics, manufacturing and automotive (Exhibit 8).

Exhibit 8: Initial humanoid use cases are industrial
Humanoid use cases in 2027, by industry (%)



Source: Counterpoint Research, BofA Global Research

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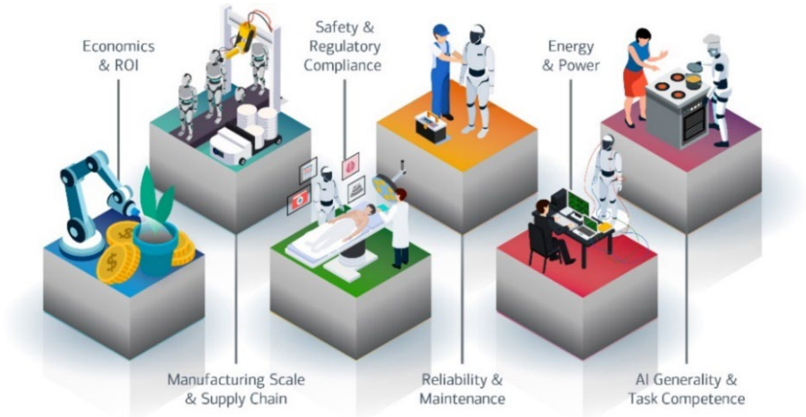
It's tough being a humanoid

As manufacturing volumes of humanoids increase, the challenges facing companies building and deploying them are shifting from production to techno-economic – achieving the levels of performance, reliability and cost that make sense commercially. The challenges to scaling humanoids, according to BofA Global Research, are (Exhibit 9):

- **Economics and return on investment (ROI):** High unit costs, uncertain labor substitution benefits and expensive repairs make it difficult to achieve compelling payback periods.
- **Manufacturing scale and supply chain maturity:** Some humanoid parts, like actuators, sensors, reducers and batteries, lack the volume, reliability and cost structure needed for large-scale humanoid production.
- **Safety, certification and regulatory compliance:** Standards for safe human-robot co-working are still emerging, slowing approvals for real industrial deployment.
- **Reliability, uptime and maintainability:** Current humanoids remain too fragile and maintenance-intensive for 24/7 industrial environments that demand high uptime and durability.
- **Energy and power constraints:** Limited battery life and immature charging or hot-swap ecosystems restrict continuous operation and reduce productivity.
- **AI generality and task competence:** Autonomous systems still struggle with unstructured, variable, real-world tasks, limiting the economic usefulness of humanoids today.

Exhibit 9: Challenges remain ahead of commercial operation of humanoid robots at scale
Infographic illustrating key challenges behind scaling humanoid robots



Source: BofA Global Research

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Disclosures